# The Canadian Umrah Agency Guide to Shariah-Compliant Currency Risk Management

A short guide from RateGuard

## 1. The problem: your margin depends on a rate you don’t control

Canadian Umrah agencies price land packages in CAD months before departure, but pay Saudi hotels, transport, and visa providers in Saudi Riyal (SAR) closer to the travel date. Between quoting and paying, the CAD/SAR rate can move. If the Riyal strengthens against the Canadian dollar, the same SAR bill costs more CAD than you budgeted for - eating directly into your margin, or forcing a late price increase on pilgrims (pelerins) who already paid a fixed price.

This is pure currency risk, not a business or operational risk. It has nothing to do with how well the season is run, and it is entirely possible to manage it - without predicting which way the rate will move.

## 2. Why this hits Umrah agencies harder than most importers

- Package prices are fixed and public months in advance.
- The SAR leg (hotels, transport, visas) is a large majority of cost.
- Group sizes are known early, so the exposure is easy to calculate - which also means it is easy to hedge, once you decide to.

## 3. The conventional fix, and why it needs adapting

Corporations facing this exact problem use a forward contract: an agreement to exchange currency at an agreed rate on a future date. It removes the guesswork, at the cost of giving up any upside if the rate moves in your favour.

In traditional Islamic finance, a standard forward can be problematic: it fixes an exchange today for currency that is only actually delivered later, without either side taking possession at the time of the agreement. That structure is part of what scholars have raised concerns about in currency forwards generally.

## 4. Wa’ad: the Shariah-compliant alignment

Modern Islamic finance addresses this with Wa’ad - a binding unilateral promise. Under a Wa’ad structure:

- The agency (or the provider) makes a binding promise today to exchange currency at a specific rate on a specific future date.
- No exchange of money happens at the time of the promise.
- The actual transaction and exchange only occur on the maturity date itself, when both sides genuinely deliver what was promised.

The economics are the same as a forward - your rate is locked - but the structure (a promise, executed later, rather than a same-day exchange of undelivered currency) is what modern Islamic corporate banking desks use to offer this while respecting Islamic financial frameworks.

Important: most conventional fintech providers (OFX included) offer the same underlying economic structure as a Wa’ad, but typically without a formal Shariah certification board attached to it. If certification matters to your agency, ask for it explicitly - see the checklist.

## 5. Your action checklist

1. Calculate your season’s total SAR exposure: pilgrims x land package cost per pilgrim in SAR. Do this per departure group, not just once a year - group sizes and dates vary.

2. Decide your compliance preference up front: conventional corporate forward, or a Shariah-certified Wa’ad structure. Put it in writing when you request quotes, so providers answer the right question.

3. Get a firm rate-lock quote before final pricing, not after. A quote typically includes a transfer fee and an upfront margin deposit - commonly 5-10% of the locked amount - held until settlement.

4. Keep a liquidity buffer of 5-10% of your locked SAR exposure on hand. This is the deposit providers hold as security, not a fee you lose - budget for it as working capital, not cost.

5. If Shariah certification is a requirement, ask explicitly for it - and ask which board certified the structure. If a provider cannot answer clearly, treat that as your answer.

6. Re-run the numbers per departure. Rates, group sizes, and SAR costs change season to season - a hedge is not a one-time decision.

## Where RateGuard fits in

RateGuard’s Umrah calculator turns step 1 into a live number for your own group sizes and SAR costs, flags whether your origin country is supported by digital corridor providers like OFX today, and routes you to the right guidance for step 2 based on your compliance preference.

This guide is educational and does not constitute financial or Shariah advice. Confirm certification claims directly with your chosen provider and, where it matters to you, with your own Shariah advisor.